

Ethical Analysis: Submission 3

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Ethical Analysis Using an LLM

Ethical Issue and Background

The ethical issue I chose to examine is algorithmic bias in digital advertising, specifically Meta/Facebook's use of algorithms to determine which consumers receive housing advertisements. Algorithms can make advertising more efficient and personalized, but they can also create unequal outcomes for different groups. The issue is especially important when advertising involves housing because housing is an important life opportunity rather than simply a consumer product. In 2022, the U.S. Department of Justice alleged that Meta's housing advertising system could discriminate against Facebook users based on protected characteristics (U.S. Department of Justice, 2022). Meta later agreed to make changes to its housing advertising system, including ending the use of its Special Ad Audience tool for housing advertisements and developing a new system to address disparities (U.S. Department of Justice, 2023). Research from the University of Chicago's Kreisman Initiative for Housing Law & Policy explains how AI can make housing discrimination easier, highlighting the risks of biased systems in an already unequal housing market (University of Chicago, Kreisman Initiative for Housing Law & Policy, 2024).

The main stakeholders in this situation include consumers, advertisers, Meta, other advertising platforms, regulators, civil rights organizations, and society. Consumers could be affected if they do not receive the same housing opportunities or information as other consumers. Advertisers and Meta benefit from the efficiency and personalization of algorithmic advertising but also have responsibilities related to how these systems affect consumers. Regulators and civil rights organizations are concerned with preventing discrimination and protecting equal access. Research also identifies transparency, diverse data, regular auditing, and bias-mitigation methods as ways to help reduce AI bias in advertising (Popov, 2024).

Ethical Analysis Using Utilitarianism and Deontology

There are clear benefits to using algorithms. They can help advertisers reach relevant audiences, reduce wasted advertising spending, and provide consumers with advertisements that may be more relevant to their interests. My LLM analysis also identified efficiency, personalization, and relevance as potential benefits of algorithmic advertising. However, these benefits have to be compared with the potential harm if certain demographic groups receive fewer housing advertisements. My original analysis identified this as a conflict between the efficiency and personalization of algorithmic advertising and the responsibility to provide fair and equal access to opportunities.

From a utilitarian perspective, if an algorithm creates a significant inequality in access to housing information, the potential harm could outweigh the benefits of more efficient advertising. Housing can affect individuals, families, and communities, so the consequences of excluding certain groups can be much more significant than the benefit of improving advertising efficiency. Therefore, a utilitarian analysis would support using algorithmic advertising only if the benefits can be achieved without creating substantial unequal outcomes.

Deontology, or a duty-based approach, focuses more on whether an action follows ethical duties and principles rather than only looking at its overall consequences. In this case, Meta and advertisers have a responsibility to treat consumers fairly and avoid discriminatory practices. Even if an algorithm is efficient and produces strong advertising results, that efficiency does not eliminate the responsibility to avoid unfair treatment. Consumers also deserve transparency about how their information is being used and how decisions affecting the advertisements they receive are being made.

This framework makes the issue especially important because discrimination does not necessarily have to be intentional for an algorithm to create unfair outcomes. My LLM analysis made this point several times. In the hypothetical prompt, the LLM states that “unequal outcomes could still affect people’s access to housing opportunities” even when an algorithm was not intentionally designed to discriminate (OpenAI, personal communication, September 26, 2026). This helped reinforce the idea that ethical responsibility involves examining the outcomes of an algorithm rather than only looking at whether someone intentionally created a discriminatory system.

What the LLM Added to My Analysis

The LLM helped me look at the issue from several different stakeholder perspectives. In my original prompts, I asked the LLM to consider consumers, advertisers, Meta, regulators, civil rights organizations, and society. The responses showed that these stakeholders can have different priorities. For example, Meta and advertisers may place more value on efficiency and personalization, while consumers and civil rights organizations may place more importance on fairness and equal access. At the same time, the LLM recognized that these stakeholders can have overlapping interests because everyone can benefit from advertising that is relevant and effective.

The LLM also helped me think more about **transparency and accountability**. In the neutral prompt response, it explained that consumers may not understand why they receive certain housing advertisements or why they do not receive others. It also stated that there should be clear responsibility for monitoring the algorithm and responding when unequal outcomes are identified (OpenAI, personal communication, September 26, 2026).

However, the LLM did have limitations. One major limitation I noticed was that the responses often stayed general and did not go deeply into the specific Meta case from my research. The responses also did not discuss the DOJ lawsuit or settlement in much detail. I specifically identified this limitation when analyzing my original prompts because the LLM focused more on the general ethical issue than on the actual events involving Meta.

Context, Stakeholders, and Prompt Writing

My prompt-tuning process showed me that context matters significantly when using an LLM for **ethical analysis**. In part 2, I first used general prompts and then added more context about Meta, algorithmic bias, fairness, transparency, equal access, and the different stakeholders. The refined prompts produced responses that were more focused on the specific ethical issue.

The stakeholder complexity also affected the analysis. Looking only at consumers could make the issue appear mostly about fairness, while looking at Meta and advertisers adds considerations such as

efficiency, advertising costs, and personalization. Including regulators, civil rights organizations, and society adds additional concerns about legal protections, broader inequalities, and accountability.

Most importantly, I learned that **the wording of the prompt can influence the LLM's response**. My neutral prompt asked the LLM to evaluate both the benefits and risks of the algorithm, while my biased prompt already described the algorithm as ethically problematic and asked why fairness should be prioritized. The biased response therefore focused more heavily on discrimination, harm, and unequal access. My comparison showed that the LLM was not necessarily using different information; instead, the framing of the prompt encouraged it to focus on one side of the issue.

Reflection and Responsible Use of LLMs

Overall, I think LLMs can be useful tools for ethical decision-making, but they should not replace human judgment. One strength is that an LLM can quickly identify different ethical concerns, organize stakeholder perspectives, and help identify questions that someone may not have considered. My experience also showed that an LLM can help compare different perspectives and explain how the same situation could affect different groups.

However, LLMs have limitations because their responses depend heavily on the information and wording provided in the prompts. A biased prompt can encourage a biased response, while a more neutral and detailed prompt can produce a more balanced analysis. The LLM also did not automatically provide the specific legal and historical context from my research. This means that professionals should not simply accept an LLM's ethical conclusion as objective or complete.

Instead, professionals should use LLMs as a **supporting tool**. They should provide enough context, include multiple stakeholder perspectives, use neutral wording when appropriate, fact-check important claims, and compare the LLM's response with reliable sources and human judgment. My experience with this project demonstrated that LLMs can help expand ethical analysis, but the person using the LLM is still responsible for evaluating the information and making the final decision. As I concluded in Part 2, LLM responses should be evaluated critically rather than automatically accepted as objective or unbiased.

References

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